IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Special Bench)

Item No.-204
CP (CAA) No.-144/230/232/ND/2019 (2nd Motion)

IN THE MATTER OF:
Itron Metering Solutions India Pvt. Ltd. and Itron India Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 28.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-144/230/232/ND/2019 (2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N PRASAD)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 144/(ND)/2019
WITH
COMPANY APPLICATION NO. CA(CAA) 139/(ND)/2019

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

ITRON METERING SOLUTIONS INDIA PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY

AND

ITRON INDIA PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEREE COMPANY

Order Delivered On: 28.07.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Gyanendra Kumar, Ms. Shikha Tandon, Mr. Robin Grover

For the Respondent :

For the IT Department : Mr. Sanjay Kumar and Ms. Easha, St. Counsels
For the RD : Ms. Shankari Mishra
For the OL : Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein ITRON METERING SOLUTIONS INDIA PRIVATE LIMITED (Transferor Company/Petitioner No.1) and ITRON INDIA PRIVATE LIMITED (Transferee Company/Petitioner No. 2) under Section 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred to as the "Scheme"), has been placed on record.

2. The Transferor Company/Petitioner No. 1 i.e., M/s Itron Metering Solutions India Private Limited is a private limited company incorporated on 22.01.1993 under the provisions of the Companies Act, 1956 vide CIN:U74899DL1993PTC051849, having its registered office at Flat No. 507, Bhikaji Cama Bhawan, Bhikaji Cama Place, Ring Road, New Delhi-110066. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company is Rs. 35,00,00,000/- divided into 3,50,00,000 equity shares of Rs. 10/- each. The issued and subscribed and paid-up share capital of the Transferor Company is Rs. 29,09,17,070/- divided into 2,90,91,707 equity shares of Rs. 10/- each.

3. The Transferee Company/ Petitioner Company No. 2 i.e., M/s Itron India Private Limited is a private limited company incorporated on 05.10.1990

under the provisions of the Companies Act, 1956 vide CIN:U74899DL1990PTC041671, having its registered office at Flat No. 507, Bhikaji Cama Bhawan, Bhikaji Cama Place, Ring Road, New Delhi-110066. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company/ Petitioner Company No. 2 is Rs. 12,00,00,000/- divided into 10,00,000/- equity shares of Rs. 10/- each (i.e., INR 1,00,00,000) and 1,10,00,000 redeemable preference shares of Rs. 10/- each (i.e., INR 11,00,00,000). The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 11,14,99,720 divided into 3,00,000 equity shares of Rs. 10/- each (i.e., INR 30,00,000), 58,49,972 11% cumulative redeemable preference shares of Rs. 10 each (i.e., INR 5,84,99,720) and 50,00,000 11% compulsory convertible cumulative preference shares of Rs. 10 each (i.e., 5,00,00,000).

4. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -

   (i) The Scheme will enable the Applicant Companies to integrate their respective businesses into a single entity with significant financial, organisational and managerial strengths of both the Companies and create, apart from synergies, a financially efficient company.

   (ii) The Scheme shall enable simplification of the shareholding structure, reduction of shareholding tiers and unification of the management structure, leading to a better administration.

   (iii) The Scheme shall result in economies of scale and reduction in overheads, administrative, managerial and other expenditure and will also enable the most optimum reflection of their combined assets in the Transferee Company.

(iv) The Scheme shall result in a significant reduction of multiplicity of legal and regulatory compliances required at present to be carried out by the Applicant Companies.

(v) The Scheme will thus contribute towards furthering and fulfilling the business objectives of the Applicant Companies and will, amongst others, have beneficial results for their shareholders, creditors and employees.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 01.12.2018 or such other date as may be mutually agreed by the Transferor Company and the Transferee Company or such other date as may be directed by the Hon'ble National Company Law Tribunal.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)139/ND/2019 and vide order dated 16.10. 2019, the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company and the Transferee Company was dispensed with. Therefore, no chairperson was appointed by the Tribunal and therefore, no report of chairperson is being submitted.

7. The Tribunal directed the petitioner company to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana, and (iv) Official Liquidator.

8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi Edition) as well as "Jansatta" (Hindi, Delhi edition), both published on 25.12.2019. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department,

Registrar of Companies, NCT of Delhi and Haryana and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

10. This Tribunal vide order dated 11.02.2022, had sought report from the Regional Director regarding his observations/NOC upon the matter. The Regional Director (RD) in its report dated 02.03.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed their reply affidavits dated 04.08.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation	Observation of the Regional Director vide report dated 02.03.2022	Reply of the Petitioner Companies vide Affidavit dated 04.08.2022
1.	In para-8.6 of the scheme it is stated that: "*All cheques and other negotiable instruments, pay orders, electronic fund transfers (like NEFT, RTGS, etc.) received or presented for encashment- which are in the name of the Transferor Company after the effective date, shall be deemed to have been in the name of Transferee Company or received through electronic transfers and shall be accepted by the Transferee Company or received through electronic transfers and shall be accepted by the relevant bankers and credited to the accounts of the Transferee Company. Similarly, the banker of the Transferee Company shall honour all cheques/ electronic fund transfer instructions issued by the*	The proposed amalgamation of the Transferor Company in the Transferee Company is on a 'going concern' basis. Moreover, pursuant to the sanctioning of the scheme, the Transferee Company will survive, and its legal existence will continue in its name. All the assets and liabilities of the Transferor Company, shall without any further act, instrument, deed, matter or things, deemed to have been transferred and vested in Transferee Company, as per the provisions of the scheme and the Act. Further, from the Effective Date, all the bank accounts of the Transferor Company shall be vested

	Transferor Company for payment after the Effective Date……..". *The above contention of the scheme speaks about acceptance/receipt/honour/Payments of negotiable instruments and electronic transfer of funds in the name of Transferor Company after the Effective Date, shall be deemed to have been in the name of Transferee Company by the bankers and credited to the accounts of the Transferee Company which is not correct since on post-sanction of the scheme by the Hon'ble Tribunal and on giving effect thereof by the Board of Directors of the Petitioner Companies the Corporate life of the Transferor Company shall end (i.e. the Transferor Company will be dissolved without winding-up) with effect from the Effective Date of the scheme. Therefore, no bank account will be operated in the name of the Transferor Company after Post Effective Date of the scheme, hence no negotiable instrument will be dealt in the name of the Transferor Company with effect from the Effective Date of the scheme. In view of the above, it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to delete such para from the scheme.*	into the Transferee Company and the bank accounts would continue in the name of the Transferee Company, which is an entity whose legal existence would continue post the sanction of the scheme. Therefore, the Transferee Company will have the legal existence and authority to honour the cheques, negotiable instruments and/or any electronic transfer issued by or in the name of the Transferor Company, as if the same were issued in the name of the Transferee Company itself. Accordingly, it is humbly submitted and prayed that Clause 8.6 is not required to be deleted from the Scheme as it is relevant to give true effect to the Scheme. In this regard, reliance is placed on the judgment dated February 07,2022 passed by the Hon'ble National Company Law Tribunal, Chandigarh Bench in the case of ***In Re: Career Launcher Education Infrastructure and Services Limited and Ors., CP (CAA) No. 10/Chd/Hry/2020, NCLT Chandigarh Bench Judgment dated 07.02.2022, Para 8 and 15*** wherein the Hon'ble NCLT, Chandigarh Bench was pleased to sanction the scheme, without any modification, wherein a similar objection regarding honouring of cheques and other negotiable instruments of the transferor

		company by the transferee company was raised by the Regional Director.
2.	*The Para-22 of the scheme speak about the amendment of the main object clause of the Transferee Company with effect from the Effective Date of the scheme which includes addition of new object clause to the main object of the company, it is to submit that addition/modification of new main object clause falls under the provision of Section 13 of the companies Act, 2013 which falls under the domain of the ROC. In view of the above, it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to suitably modify the scheme by adding thereto compliance of the provisions of the section 13 of the Companies Act, 2013 to give effect of modification of the main object clause of MOA.*	Section 230-232 of the Act constitute a complete code by itself, which is intended to be in the nature of a '*single window clearance system'*. Thus, no separate compliance in terms of Section 13 of the Act is required to be undertaken to seek alteration of the MOA of the Transferee Company. In this regard, reliance is placed on the case of ***In re: PMP Auto Industries Limited, (1994) 80 Comp Cas 289, Para 16; and QH Talbros Limited & Ors., 2015 SCC Online P7H 18503, Para 21-25.*** Further, Clause 22.3 of the Scheme clearly states the consent of the members of the Petitioner Company No. 2 to the Scheme shall be deemed to be sufficient for the purposes of effecting the amendment to the main objects clause, and no further resolution under Section 13,14 and 61 of the Act or any other applicable provisions of the Act or any other applicable law would be required to be separately passed. The members of the Petitioner Companies have duly approved the entire Scheme. Without prejudice, the Transferee Company has undertaken to comply with the all the procedural requirements, as may be required

		and applicable to give effect to the amended memorandum of association.

11. The Official Liquidator has filed its report dated 07.01.2020, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

12. The Income Tax Department has submitted its final report dated 04.04.2022 wherein, it is submitted that the Income Tax Department has no objection to the sanction of the Amalgamation Scheme with respect to the Transferor Company and the Transferee Company. The counsel for the Income Tax Department has also appeared before us on 20.10.2022, and submitted that the Income Tax Department has no objection to the scheme.

13. The petitioner companies have filed the affidavit-cum-undertaking dated 22.09.2021, in compliance of the order dated 06.09.2021, and undertakes to pay outstanding tax liability, as and when payable as per law.

14. It is noted that the Regional Director (RD) in its report dated 02.03.2022 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies and raised certain objections. On the perusal of the observations made by the RD and the reply filed by the Petitioner Companies and considering the undertaking of the Petitioner Companies with respect to the observations and clarifications, it appears to us that in respect of the RD's observation regarding clause 8.6 of the scheme, the citation relied upon by the Petitioner Companies with respect to the honouring of cheques and other

negotiable instruments of the transferor company by the transferee company in the case of **In Re: Career Launcher Education Infrastructure and Services Limited and Ors., CP (CAA) No. 10/Chd/Hry/2020, NCLT Chandigarh Bench Judgment dated 07.02.2022, Para 8 and 15**, does not hold any ground in the light of the decision of the Hon'ble NCLT, Principal Bench in **CP (CAA) 14/PB/2022** wherein, the Hon'ble NCLT, Principal Bench has laid down as follows:

"It is a trite law that a Company once dissolved, loses its legal identity, resultantly such a dissolved company cannot be allowed to hold any asset in its name or operate any bank account in its name. no regulatory monitoring is possible, once the company loses its existence."

Hence, keeping in view the above decision of the Hon'ble Principal Bench, NCLT, we are not satisfied with the justification given by the Petitioner companies for continuing the bank account in the name of Transferor Company by the Transferee Company. Therefore, we direct the deletion of Para 8.6 of the proposed Scheme.

15. As regards the second observation of the RD relating to clause 22 of the scheme, wherein, amendment in the main object clause of the Transferee Company is envisaged from the effective date, we find that the Petitioner Companies have given an undertaking to comply with all relevant requirements as applicable to give effect to the amended Memorandum of Association. Therefore, the Petitioner Companies are directed to do the same.

16. In this petition it has also been affirmed by the petitioners that there is no pending complaint against the scheme and no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

17. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

18. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

19. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The proposed scheme has 01.12.2018 as the Appointed Date or such other date as mutually agreed by the Petitioner Companies or such other date as may be directed by this Tribunal. Keeping in view the fact that Accounts would have been drawn for subsequent years, we prescribe 01.04.2022 as the Appointed Date.

    (ii) The Petitioner Companies are directed to delete Para 8.6 of the proposed scheme of Amalgamation between the Petitioner Companies.

    (iii) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

    (iv) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or

regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(v) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

20. This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date i.e., 01.04.2022, as prescribed by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies,

as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

21. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

22. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of

Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

23. The petition stands disposed of in the above terms.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(P.S.N. PRASAD)
MEMBER (JUDICIAL)